VALUE ADDED TAX (VAT) IN NIGERIA: CHANGES AND CHALLENGES UNDER THE NIGERIA TAX ACT, 2025

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Abstract
This paper critically examines the evolution and administration of Value Added Tax (VAT) in Nigeria, with a particular focus on the reforms introduced under the Nigerian Tax Act 2025. Using the doctrinal method, the study analyses statutory provisions, judicial decisions, and administrative practices to assess whether the 2025 reforms adequately address the longstanding challenges of VAT governance. It finds that, despite the Act's commendable innovations, such as the inclusion of digital services, the rationalisation of thresholds, and the integration of technology into compliance systems, fundamental issues persist. These include constitutional ambiguities regarding taxing powers between the Federation and the States, a weak enforcement capacity within the Federal Inland Revenue Service (FIRS), and inadequate coverage of Nigeria's expansive informal sector. The paper argues that achieving a coherent and sustainable VAT regime in Nigeria requires more than statutory amendments; it demands a holistic restructuring of the fiscal federal framework, institutional synergy, and investment in digital infrastructure for tax administration. Drawing comparative insights from the United Kingdom, South Africa, and Ghana, this study concludes that the 2025 reforms represent an important but incomplete step toward fiscal modernisation. It recommends clear constitutional delineation of taxing powers, technology-driven compliance systems, and enhanced taxpayer education as strategic imperatives for reform.

Keywords: VAT, Administration, Nigerian Tax Act 2025, fiscal federalism, digital taxation,

1. Introduction
Taxation remains the lifeblood of modern states, providing the fiscal foundation for governance, infrastructure, and social development. Within this framework, Value Added Tax (VAT) has emerged globally as one of the most efficient and broad-based consumption taxes. VAT was introduced in Nigeria through the *Value Added Tax Decree of 1993,*[1] *which replaced* the earlier Sales Tax regime administered by the States. The principal objective was to create a more uniform, revenue-yielding, and administratively efficient system capable of reducing distortions in interstate commerce and broadening the tax base. Over three decades later, the administration of VAT in Nigeria remains a subject of intense legal and policy debate. Despite its consistent contribution to national revenue, the system remains constrained by structural inefficiencies, institutional overlaps, and constitutional ambiguities regarding fiscal competence. The tension between the federal and state taxing powers was brought to the fore in *Attorney-General of Rivers State v Federal Inland Revenue Service & Anor., which*[2] has underscored the need for clearer constitutional and statutory demarcation of authority over consumption taxes. The enactment of the Nigerian Tax Act 2025 represents the Federal Government's latest attempt to modernise the tax system and address longstanding inefficiencies. The Act consolidates various tax statutes and introduces substantial amendments to VAT provisions, particularly in relation to digital economy taxation, threshold adjustments, and enforcement mechanisms. However, the effectiveness of these reforms remains uncertain in the face of existing institutional weaknesses and competing fiscal interests among the tiers of government. This paper, therefore, adopts the doctrinal legal research method, relying on statutory interpretation, judicial decisions, and policy analysis to interrogate the legal and institutional framework governing VAT administration. It seeks to achieve three interrelated objectives:

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[1] *Value Added Tax Decree No. 102 of 1993*
[2] *Attorney-General of Rivers State v Federal Inland Revenue Service & Anor* (Suit No FHC/PH/CS/149/2020).

1. To examine the legislative evolution of VAT from 1993 to the 2025 Nigeria Tax Act;
2. To analyse the persistent challenges undermining effective VAT administration in Nigeria, and
3. To propose reform strategies capable of promoting equitable, technology-driven, and constitutionally coherent VAT governance in Nigeria.

2. Evolution of VAT Legislation in Nigeria (1993–2025)

a. Origin of VAT in Nigeria

The Value Added Tax (VAT) system was introduced in Nigeria through the *Value Added Tax Decree No. 102 of 1993*, which came into force on January 1, 1994, replacing the *Sales Tax Decree No. 7 of 1986*, administered by the States. The principal objective was to create a more uniform, broad-based, and efficient consumption tax capable of minimising cascading effects in the tax system and improving revenue mobilisation for the Federation.VAT was designed as a federally administered tax, collected by the Federal Inland Revenue Service (FIRS) on behalf of the three tiers of government, with proceeds distributed according to an agreed formula. The tax applies to the supply of goods and services, except for those expressly exempted under the First Schedule to the Decree. Initially, the rate was fixed at 5 per cent. However, from its inception, VAT in Nigeria has been burdened by administrative inefficiencies, low compliance, and a weak public understanding of its legal framework. These issues reflected both the complexity of the new tax and the limited institutional capacity of the FIRS in the 1990s.

b. Consolidation and Early Reforms (1999–2018)

Following the transition to democratic governance in 1999, VAT was codified as Cap V1 of the Laws of the Federation of Nigeria 2004[3]. The law was periodically amended to reflect the changing fiscal realities of Nigeria. Notably, the early 2000s witnessed efforts to expand the VAT base, standardise returns, and strengthen enforcement through administrative circulars issued by the FIRS. Despite these reforms, voluntary compliance remained low. The informal sector, which contributes a significant portion of Nigeria's GDP, remained largely outside the VAT net. Furthermore, the lack of coordination between federal and state tax authorities created confusion, particularly regarding overlapping levies and multiple taxation.

c. The Finance Acts Era (2019–2023): Laying the Groundwork for Reform

Between 2019 and 2023, Nigeria enacted a succession of Finance Acts, each introducing incremental reforms that collectively reshaped Nigeria's tax architecture and laid the foundation for the far-reaching reforms of the Nigerian Tax Act 2025.[4] These legislative measures were designed to modernise tax administration, broaden the revenue base, and align domestic tax laws with emerging global economic realities.[5] Some key developments characterised this period. First, the Finance Act 2019 increased the Value Added Tax (VAT) rate from 5% to 7.5%, marking the first rate adjustment since the introduction of VAT in 1993.[6] This upward revision was primarily aimed at improving non-oil revenue generation and narrowing Nigeria's fiscal deficit.

Secondly, the Act amended section 15 of the VAT Act[7], introducing a ₦25 million annual turnover threshold for VAT registration.[8] This reform sought to reduce the compliance burden on micro-enterprises while ensuring that only economically significant entities were subject to VAT obligations. Thirdly, the Finance Act 2021 extended Nigeria's tax jurisdiction to the digital and cross-border economy, providing for the taxation of non-resident digital service providers with a *Significant Economic Presence* (SEP) in Nigeria.[9] This provision was a precursor to the comprehensive digital taxation framework later codified under the NTA 2025. Fourthly, amendments during this period

[3] *Value Added Tax Act*, Cap V1 Laws of the Federation of Nigeria 2004.
[4] Federal Ministry of Finance, *Overview of the Finance Acts 2019–2023* (Abuja, 2024).
[5] Nigerian Economic Summit Group, *Fiscal Policy Review: The Finance Acts and the Future of Tax Reform in Nigeria* (NESG Policy Brief, 2023).
[6] Finance Act 2019, s 34 (amending s 4 of the VAT Act 1993).
[7] VAT Act n.2
[8] Finance Act 2019, s 15 (amending s 15 of the VAT Act 1993).
[9] Finance Act 2021, s 30 (introducing the concept of Significant Economic Presence for digital transactions).

strengthened the input-output mechanism by clarifying the rules governing input VAT deduction, thereby reducing instances of double taxation and promoting neutrality in the VAT chain.[10]

Finally, the Federal Inland Revenue Service (FIRS) began a programme of administrative modernisation, implementing electronic filing systems, online tax clearance certificates, and digital payment platforms.[11] These initiatives not only improved transparency and compliance but also laid the technological foundation for the automation and real-time monitoring later mandated under the 2025 tax reforms. Taken together, the Finance Acts of 2019–2023 represented a transitional era in Nigeria's tax evolution, an incremental but critical bridge between traditional, paper-based administration and the digitalised, integrated fiscal framework of the NTA 2025.[12]

d. The VAT Controversy and Judicial Intervention (2021–2022)

The dispute over VAT collection powers reached a climax in *Attorney-General of Rivers State v Federal Inland Revenue Service & Anor*[13], where the Federal High Court, Port Harcourt Division, held that only States possess the constitutional competence to impose VAT within their territories. The Court reasoned that VAT, being a consumption tax rather than an income tax, did not fall under the exclusive legislative powers of the National Assembly. This judgment triggered intense debate and legislative responses from several States, notably Rivers and Lagos, which enacted their own VAT Laws in 2021. Although the Court of Appeal later stayed execution pending the Supreme Court's final determination,[14] the case revealed deep constitutional ambiguities and rekindled calls for fiscal decentralisation. The controversy underscored the need for a coherent legal framework that harmonises tax administration while respecting the principles of federalism, an issue the Nigerian Tax Act 2025 sought to address.

e. The Nigeria Tax Act 2025[15]: A New Legal Landscape

The Nigeria Tax Act 2025 (NTA 2025) marks a significant milestone in Nigeria's fiscal and legal development. It consolidates several previously distinct tax statutes, including the Value Added Tax Act, the Companies Income Tax Act, the Capital Gains Tax Act, and the Personal Income Tax Act, into a unified legislative framework aimed at eliminating duplication, harmonising definitions, and enhancing legal certainty for taxpayers and administrators alike.[16] This consolidation reflects an attempt to modernise the country's tax system in line with global best practices in tax codification.[17]

A major institutional innovation introduced by the NTA 2025 is the creation of the Nigeria Revenue Service (NRS), which replaces the Federal Inland Revenue Service (FIRS) as the principal federal tax authority.[18] The NRS is vested with enhanced enforcement, automation, and taxpayer data integration powers, signalling a shift towards a technology-driven, evidence-based approach to tax administration. Complementary legislation, notably the Nigeria Tax Administration Act 2025 (NTAA), reinforces this transformation by mandating the real-time exchange of data and integrated reporting between tax authorities and financial institutions.[19]

From the perspective of Value Added Tax (VAT), the Act introduces several significant innovations. First, it expands the VAT net to include digital and remote services, adopting the principle of *Significant*

[10] PwC Nigeria, *Finance Act 2021 Highlights: VAT, CIT and Transfer Pricing Changes* (PwC Report, 2021).
[11] Federal Inland Revenue Service, *Digital Transformation Strategy 2022–2025* (FIRS Publication, 2022).
[12] KPMG, *From the Finance Acts to the Nigerian Tax Act 2025: Charting Nigeria's Tax Modernisation Path* (KPMG Insights, 2025).
[13] *Attorney-General of Rivers State v Federal Inland Revenue Service & Anor* (2022)
[14] Nwankwo, C. B. (2022) "Value Added Tax in Nigeria: An overview of notable reforms and implications of the Finance Act, 2019 and 2020," *Nnamdi Azikiwe University Journal of International Law and Jurisprudence*, 13(2), pp. 149–157. Available at: https://www.ajol.info/index.php/naujilj/article/view/233147 Accessed October 28, 2025.
[15] The Nigerian Tax Act 2025
[16] Nigerian Economic Summit Group, *A New Fiscal Framework: Key Provisions of Nigeria's 2025 Tax Reform Laws* (NESG Policy Brief, 2025).
[17] PwC Nigeria, *The Nigeria Tax Reform Acts: Top 20 Changes to Know and Six Things to Do* (PwC Report, 2025).
[18] Mondaq, *The Nigeria Revenue Service Establishment Act 2025: Institutional Transformation and Enforcement Powers* (2025).
[19] Trusted Advisors Law, *Tax Reform in Nigeria: Key Changes under the New Tax Acts* (2025).

Economic Presence (SEP) as the determinant of tax nexus for non-resident suppliers.[20] This ensures that foreign digital platforms offering online streaming, consultancy, advertising, and virtual asset services to Nigerian users are subject to VAT obligations, thereby addressing the historical under-taxation of the digital economy.[21]

Secondly, the Act establishes a fiscalisation framework to support the digital administration of VAT and enhance revenue assurance. In particular, Section 158 of the Nigeria Tax Act 2025 and corresponding provisions of the Nigeria Tax Administration Act 2025[22] empower the tax authority to introduce electronic fiscal systems (EFS), including digital invoicing tools and real-time transaction reporting mechanisms, for VAT purposes. Following the transition to the Nigeria Revenue Service (NRS), the tax authority has signalled a phased rollout of e-invoicing and automated VAT compliance processes, beginning with large taxpayers. These reforms are expected to improve transparency, reduce leakages, and strengthen overall VAT compliance across the economy.

Thirdly, the NTA 2025 enhances VAT administration by refining input-VAT credit rules and integrating digital compliance measures. Notably, the Act expands the scope of input VAT recoverable on taxable supplies, including specific capital expenditures and services, thereby supporting liquidity and reducing cash-flow pressure for compliant businesses.[23] In addition, the broader digital fiscalisation framework under the tax reform regime, including the mandate in Section 158 NTA 2025 for the deployment of electronic fiscal systems, is expected to simplify verification and reduce compliance burdens, particularly for smaller taxpayers.

The Nigeria Tax Administration Act 2025 introduces a revised statutory formula for distributing net VAT revenue among the three tiers of government. Under Section 81 NTAA 2025, net VAT collections are allocated as follows: 10% to the Federation, 55% to State Governments, and 35% to Local Government Councils.[24] The shares allocated to States and Local Governments are further distributed based on equality, population, and place of consumption.[25] This reform aims to enhance fiscal equity and reduce intergovernmental disputes in the administration of VAT.

Nevertheless, the successful implementation of these provisions will depend on institutional readiness, constitutional clarity, and technological infrastructure.[26] The capacity of the newly created NRS to operate integrated digital systems, as well as the extent of cooperation among federal and state authorities, remain decisive factors.[27] The reform thus represents both a legal harmonisation initiative and a technological modernisation project, reflecting Nigeria's intent to align with international tax standards while addressing domestic inefficiencies.[28]

2.6 Reflections on the Future of VAT under the 2025 Tax Act

From its inception in 1993 to the sweeping reforms of 2025, Nigeria's VAT system has undergone continuous transformation; yet, many of its structural weaknesses persist.[29] Initially designed as a broad-based consumption tax to replace the Sales Tax regime, VAT has evolved through successive amendments but remains hampered by constitutional ambiguities, institutional limitations, weak enforcement, and technological gaps.[30]

[20] Nigeria Tax Act 2025, ss 17, 151 and 152.
[21] Trusted Advisors Law (n 12).
[22] S.23 Nigeria Tax Administration Act 2025 (NTAA 2025)
[23] S. 156 NTA 2025
[24] S. 81 (1), Nigeria Tax Administration Act 2025
[25] Ibid S. 81(2)
[26] NESG (n 9).
[27] Mondaq (n 11).
[28] KPMG (n 17).
[29] Federal Inland Revenue Service, *History of Value Added Tax in Nigeria* (FIRS Publication, 2023).
[30] NESG (n 9).

The NTA 2025 represents a transformative yet transitional framework, modern in its legislative form but still in its early stages of practical application.[31] While it introduces digital compliance measures and strengthens the administrative base through the NRS, the success of these innovations depends on consistent implementation, adequate funding, and intergovernmental collaboration.[32] Ultimately, Nigeria's journey towards a fully functional VAT regime must rest on three critical pillars: sustained implementation of automation tools, constitutional alignment to clarify the taxing powers of each tier of government, and digital capacity building to support data-driven enforcement.[33]

3. Contemporary Challenges in the Administration of Value Added Tax (VAT) in Nigeria

Despite successive legislative reforms culminating in the Nigerian Tax Act 2025, the administration of Value Added Tax (VAT) in Nigeria remains constrained by persistent constitutional, institutional, and technological challenges. The enduring weakness of the system reflects not only legislative ambiguities but also deep structural and administrative deficiencies. This section identifies and examines four significant areas of concern: (i) constitutional and institutional conflicts, (ii) weak enforcement capacity and compliance culture, (iii) digital economy and cross-border taxation, and (iv) taxpayer perception and fiscal legitimacy.

i. Constitutional and Institutional Conflicts

The most fundamental challenge facing VAT administration in Nigeria is the uncertain constitutional foundation upon which the tax is based. The 1999 Constitution (as amended) does not expressly list "Value Added Tax" under either the Exclusive or Concurrent Legislative Lists in the Second Schedule. Consequently, the Federal Government has historically relied on its residual authority under Item 68 of the Exclusive Legislative List, which empowers the National Assembly to legislate on matters incidental to federal taxation, to justify the application of the VAT Act throughout the Federation.

This interpretation was directly challenged in the landmark case of *Attorney-General of Rivers State v. Federal Inland Revenue Service & Anor.*[34], where the Federal High Court held that the Federal Government lacked constitutional competence to impose and collect VAT, as such authority resided exclusively with the States. Although the Court of Appeal subsequently stayed the execution of this judgment pending appeal to the Supreme Court, the case highlighted a profound tension in Nigeria's federal fiscal structure. The conflict has practical implications: States such as Rivers and Lagos enacted their own VAT Laws in 2021, creating overlapping legal regimes and compliance confusion for taxpayers. This duality poses a threat to national economic integration and complicates interstate commerce. While the Nigerian Tax Act 2025 seeks to harmonise tax administration through unified provisions and more explicit revenue-sharing formulas,[35] it does not conclusively resolve the constitutional question of taxing authority. Without an amendment to the Constitution or a definitive Supreme Court pronouncement, VAT's federal character remains legally contestable and politically fragile.

ii. Weak Enforcement Capacity and Compliance Deficits

VAT administration in Nigeria continues to face pervasive enforcement challenges. The tax authority's capacity to maintain comprehensive and up-to-date taxpayer databases remains constrained, particularly in the informal economy. This sector accounts for a dominant share of economic activity and largely eludes the formal tax net. Limited digital infrastructure, weak institutional enforcement frameworks, and the cash-based nature of many small business transactions compound these obstacles.[36] A recent audit analysis by the FIRS reveals that, despite identifying material VAT liabilities, recovery is weak

[31] KPMG (n 17).
[32] Mondaq (n 6).
[33] OECD (n 13).
[34] *Attorney-General of Rivers State v Federal Inland Revenue Service & Anor* (Suit No FHC/PH/CS/149/2020).
[35] N.24
[36] An Assessment of Taxation Strategies and Policy Interventions for Nigeria's Informal Economy", FUJAFR, Vol. 3, Issue 1 (2025)

and self-assessments are seldom verified.[37] Non-compliance in Nigeria's VAT regime has been attributed to insufficient taxpayer data, low compliance rates, and corruption in tax administration.[38]

Collectively, these findings support the conclusion that institutional weakness, inadequate monitoring, and limited digital enforcement capacity significantly undermine VAT collection in Nigeria. Although the Federal Inland Revenue Service (FIRS) introduced the TaxPro-Max platform in 2021 to enhance digital filing and compliance, its impact remains constrained by limited coverage and weak interoperability with complementary data systems, such as those operated by the Corporate Affairs Commission (CAC) and the Nigeria Inter-Bank Settlement System (NIBSS). Until enforcement becomes fully data-driven and integrated across tax-relevant agencies, compliance levels are likely to remain suboptimal, and the revenue-generating potential of VAT will continue to be underutilised.[39]

iii. The Digital Economy and Cross-Border Taxation

The exponential growth of the digital economy presents one of the most pressing modern challenges for VAT administration in Nigeria. As commerce increasingly shifts online, traditional tax frameworks, designed for physical transactions, struggle to capture value generated by non-resident digital service providers.[40] To address this gap, the Finance Act 2021 introduced provisions enabling the taxation of foreign entities with a significant economic presence (SEP) in Nigeria. The FIRS Guidelines on the Administration of VAT on Non-Resident Suppliers (2023)[41] further elaborated these rules, requiring foreign digital platforms to register, charge, and remit VAT on services rendered to Nigerian consumers. However, enforcement remains limited due to jurisdictional constraints and technological inadequacy. Many digital platforms lack a physical presence in Nigeria, complicating compliance monitoring and tax nexus determination. Although the Nigerian Tax Act 2025[42] and the Nigeria Tax Administration Act 2025[43] empower the tax authority to deploy electronic fiscal systems and real-time VAT monitoring tools for cross-border digital supplies, full implementation remains in progress. Until Nigeria strengthens its data analytics capacity and expands international cooperation through information exchange agreements, digital VAT enforcement will remain largely aspirational.[44] Comparative experience from the European Union, through the One-Stop Shop (OSS) mechanism, and from South Africa, via the SARS e-Filing and digital VAT registration regime, demonstrates that effective digital VAT administration depends on both technological sophistication and cross-border information sharing, areas in which Nigeria is still developing.[45]

iv. Taxpayer Perception, Trust, and Fiscal Legitimacy

Another major obstacle to effective VAT administration in Nigeria is the low level of taxpayer trust in the government. Many taxpayers perceive VAT as an additional burden with little corresponding benefit, particularly given persistent concerns about the misuse of tax revenue and the absence of visible public services. This perception erodes tax morale and fosters deliberate non-compliance.[46] Frequent tax changes and inconsistent interpretations have created uncertainty and distrust, especially among SMEs, worsened by weak taxpayer education. Though the 2025 Tax Act offers simplified returns and digital payments, deeper transparency and stronger institutional credibility are still required. A VAT system seen as unfair or opaque will continue to face resistance, regardless of how well the law is

[37] 'Analysis of the Audit Report on Federal Inland Revenue Service (2018-2021) a Publication of the Centre for Fiscal Transparency and Public Integrity' (2025) <https://www.fiscaltransparency.org/wp-content/uploads/2025/03/Analysis-of-the-Audit-Report-on-FIRS.pdf?utm_source=chatgpt.com> accessed October 30 2025

[38] E Muniru, 'Critical Analysis of Value Added Tax System in Nigeria' <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5129415> accessed October 30 2025

[39] See generally, Federal Inland Revenue Service, *TaxPro-Max: Enhancing Tax Administration through Digitalisation* (FIRS, 2021); World Bank, *Nigeria: Strengthening Domestic Revenue Mobilisation* (2023).

[40] OECD, *International VAT/GST Guidelines* (OECD Publishing, 2022).

[41] Federal Inland Revenue Service, *Guidelines on the Administration of VAT on Non-Resident Suppliers* (FIRS, 2023

[42] notably s. 158

[43] s. 23 Nigeria Tax Administration Act 2025

[44] OECD (2023) VAT Digital Toolkit for Africa.

[45] See European Commission, VAT One Stop Shop (OSS) Guidelines (2022); South African Revenue Service (SARS), e-Filing and VAT Modernisation Programme (2023).

[46] National Bureau of Statistics (NBS), *Informal Sector Contribution to GDP* (Abuja, 2023)

drafted. Nigeria's VAT administration faces interconnected challenges. Constitutional ambiguity weakens policy coherence; poor enforcement undermines compliance; limited digital capacity slows innovation; and low taxpayer trust reduces legitimacy. As a result, the VAT framework appears robust on paper but remains fragile in practice. The 2025 Tax Act contains important reforms, but their success depends on institutional capacity. Without constitutional clarity, technological investment, and sustained public engagement, the vision of a modern VAT system will remain unrealised. The next section therefore draws on comparative experiences from other jurisdictions to identify best practices relevant to Nigeria's fiscal landscape.

4. Comparative Insights from Selected Jurisdictions

Comparative analysis is essential in doctrinal tax research, especially for systems seeking alignment with global best practices. This section draws on the VAT experiences of the UK, South Africa, and Ghana to guide Nigeria's post-2025 reforms.

4.1 The United Kingdom: Institutional Coherence and Digital Integration

The United Kingdom operates one of the world's most mature VAT systems, introduced in 1973 to replace the Purchase Tax upon entry into the European Economic Community. Administered by His Majesty's Revenue and Customs (HMRC), the UK model demonstrates the importance of institutional coherence, technological sophistication, and transparent communication with taxpayers.[47] Unlike Nigeria's fragmented federal structure, Value Added Tax (VAT) in the United Kingdom is administered centrally by His Majesty's Revenue and Customs (HMRC), thereby eliminating jurisdictional conflicts and ensuring uniform application across England, Scotland, Wales, and Northern Ireland (subject to certain devolved variations). The clear statutory competence established under the Value Added Tax Act 1994 promotes taxpayer certainty and administrative efficiency. Furthermore, the Making Tax Digital (MTD) initiative, launched in 2019, mandates businesses to maintain digital records and submit VAT returns using approved software integrated with HMRC's online portal.[48]This reform has substantially reduced filing errors, improved compliance rates, and enabled the creation of real-time audit trails in other jurisdictions.

Nigeria has adopted similar digital reforms through TaxPro-Max, the NRS e-Invoicing system, and the new real-time VAT monitoring portal, all backed by the Nigeria Tax Act 2025 and the Nigeria Tax Administration Act 2025. Sections 153 and 158 of the Tax Act mandate electronic invoicing and establish the fiscalisation system for secure transaction reporting. These measures collectively move VAT administration toward full digital integration.[49] The Nigeria Tax Administration Act 2025, particularly *Section 71*, empowers the Service to deploy technology for automated tax administration and data collection. Meanwhile*, Sections 103–104* prescribe penalties for failure to use or grant access to fiscalisation systems.[50]

Drawing lessons from the United Kingdom's experience, Nigeria must strengthen interoperability between the NRS and allied institutions such as the Corporate Affairs Commission (CAC) and the Nigeria Inter-Bank Settlement System (NIBSS) to ensure seamless data connectivity and enforce compulsory e-filing for all eligible taxpayers.[51] Enhanced taxpayer service, transparent communication, and user-centred guidance, hallmarks of HMRC's digital transformation, are equally essential for fostering voluntary compliance and taxpayer empowerment in Nigeria.[52]

4.2 South Africa: Digital Enforcement and Legal Clarity

South Africa's Value Added Tax Act No. 89 of 1991 provides another instructive model for Nigeria, particularly in the areas of digital compliance and legislative clarity. The South African Revenue

[47] HM Revenue & Customs (HMRC), *Making Tax Digital for VAT Policy Paper* (London, 2019).
[48] HM Revenue and Customs, *Making Tax Digital for VAT: Guidance and Implementation Overview* (HMRC, 2023); Value Added Tax Act 1994 (UK).
[49] *Nigeria Tax Act 2025*, ss 153, 158
[50] *Nigeria Tax Administration Act 2025*, ss 71, 103–104
[51] *Nigeria Tax Act 2025*, s 158; *Nigeria Tax Administration Act 2025*, s 71.
[52] HM Revenue and Customs, *Making Tax Digital for VAT: Guidance and Implementation Overview* (HMRC 2023).

Service (SARS) has developed a technologically advanced VAT administration framework that effectively balances enforcement with taxpayer convenience.[53] The Act defines the scope, rate, and exemptions in clear statutory terms, leaving minimal room for administrative discretion.[54] The predictable and transparent nature of South Africa's VAT regime enhances voluntary compliance, strengthens administrative efficiency, and significantly reduces the incidence of tax-related litigation.[55] Nigeria's enforcement framework already supports data-driven VAT audits and electronic fiscalisation under sections 71, 153, and 158 of the 2025 tax laws. However, these provisions remain underutilised, particularly in integrating with payment systems such as NIBSS. Stronger inter-agency data links and real-time monitoring are needed to improve compliance and VAT effectiveness.[56] South Africa was among the first African countries to extend VAT to foreign digital suppliers, such as online streaming and cloud service providers. Registration thresholds are low, and enforcement mechanisms include blocking non-compliant platforms. Nigeria's 2025 reforms echo this approach but will require stronger cross-border cooperation and automated monitoring tools to be effective.

4.3 Ghana: Fiscal Federalism and Simplified Compliance

Ghana's Value Added Tax Act 870 of 2013, together with its subsequent amendments, offers valuable lessons on balancing centralised tax administration with simplified compliance procedures for small and medium enterprises (SMEs). The Ghana Revenue Authority (GRA) administers VAT alongside other domestic taxes, thereby consolidating collection functions under a single agency.[57] This centralised model reduces duplication, enhances efficiency, and promotes policy coherence, an essential consideration for Nigeria, where persistent fragmentation between federal and state tax authorities often generates administrative friction.[58] Ghana's introduction of the Flat Rate Scheme (FRS) for small traders, which imposes a single VAT rate of 3 per cent without complex input–output accounting, has significantly improved compliance among micro-enterprises and reduced compliance costs.[59]

Nigeria could adopt a similar tiered VAT regime, thereby balancing administrative convenience with the principles of equity and progressive taxation. Ghana's implementation of the E-VAT system enables businesses to issue electronic VAT invoices, which are transmitted in real-time to the Ghana Revenue Authority (GRA) database.[60] This digital reform has substantially curtailed under-declaration, enhanced revenue assurance, and reduced opportunities for leakages.[61] For Nigeria, the effective enforcement of mandatory e-invoicing and fiscalisation under the Nigeria Tax Act 2025 and the Nigeria Tax Administration Act 2025, particularly within the digital compliance framework established by *sections 153 and 158,* would significantly strengthen audit capacity and improve overall VAT compliance.[62]

4.4 Comparative Analysis and Key Lessons for Nigeria

Three key insights emerge from the comparative analysis: a strong VAT system depends not only on legal design but on institutional coherence and public trust. The UK highlights the impact of digital transparency; South Africa shows the value of clarity and automation; and Ghana demonstrates the benefits of simplification. For Nigeria, the task is to translate the ambitious provisions of the Nigerian Tax Act 2025 into practical outcomes. This will require resolving constitutional ambiguities, investing in technology-driven compliance systems, and engaging taxpayers consistently. Only then can Nigeria's VAT evolve from a revenue tool into a marker of fiscal modernisation and national cohesion.

[53] South African Revenue Service (SARS), *VAT e-Filing and Digital Compliance Framework* (SARS, 2023).
[54] *Value-Added Tax Act No. 89 of 1991* (South Africa), sections 7–12 (scope, rates, and exemptions).
[55] National Treasury, *Budget Review: Revenue Trends and Tax Administration in South Africa* (Pretoria, 2024).
[56] *Nigeria Tax Administration Act 2025*, s 71; *Nigeria Tax Act 2025*, ss 153, 158.
[57] *Value Added Tax Act 870 of 2013* (Ghana), ss 3–5; Ghana Revenue Authority Act 2009 (Act 791).
[58] J Addo, 'Tax Harmonisation and Revenue Administration in Ghana: Lessons for Federal Systems' (2022) *African Tax Review* 14(2) 56–74.
[59] Ghana Revenue Authority (GRA), *Implementation Guidelines for the VAT Flat Rate Scheme* (Accra, 2018)
[60] Ghana Revenue Authority (GRA), *E-VAT Implementation Guidelines* (Accra, 2022).
[61] Ghana Ministry of Finance, *Domestic Revenue Mobilisation Report* (Accra, 2023).
[62] *Nigeria Tax Act 2025*, ss 153, 158; *Nigeria Tax Administration Act 2025*, s 71.

5. Reform Proposals/Recommendations for Strengthening VAT Administration in Nigeria under the 2025 Tax Act

i. Constitutional and Legislative Clarity

The first and most critical reform concerns the constitutional foundation of Value Added Tax (VAT) in Nigeria. Although the Nigeria Tax Act 2025 and related fiscal statutes have consolidated multiple tax laws and streamlined federal administration, they have not conclusively resolved the longstanding dispute over whether VAT is a federal or state tax. This ambiguity continues to undermine policy stability, investor confidence, and administrative coherence.[63] A constitutional amendment remains necessary to clarify legislative competence over consumption taxes and to prevent recurrent jurisdictional conflicts such as those witnessed *in Attorney-General of Rivers State v Federal Inland Revenue Service & Anor.*[64] Furthermore, while the 2025 reforms have improved harmonisation, the Finance Acts enacted between 2019 and 2023 still require careful alignment with the new tax framework to avoid duplication and interpretative inconsistencies. The National Assembly should also institutionalise a codified tax reform schedule to ensure predictability, coherence, and long-term legislative stability in Nigeria's fiscal system.[65]

ii. Institutional Strengthening and Inter-Agency Collaboration

Weak institutional coordination remains one of the most significant impediments to effective VAT administration in Nigeria. Fragmented databases, overlapping mandates, and bureaucratic bottlenecks continue to reduce compliance efficiency. The establishment of the Nigeria Revenue Service (NRS)[66] Under the *Nigeria Revenue Service (Establishment) Act 2025*, there is a critical opportunity to address these systemic weaknesses. Unlike the former FIRS, the NRS operates with greater autonomy, clearer powers, and stronger accountability. Section 4(1) (l)–(m) of the NRS Act 2025 mandates the Service to maintain comprehensive tax databases and ensure government-wide access to revenue data. Section 4(3) (b) further authorises the use of digital platforms to automate tax administration.[67] This statutory framework is designed to address the longstanding coordination gap between federal and subnational revenue agencies.[68]

To achieve this objective, the Nigeria Revenue Service (NRS) must strengthen institutional collaboration with key agencies such as the Corporate Affairs Commission (CAC), the Central Bank of Nigeria (CBN), the Nigeria Customs Service (NCS), and other regulatory bodies. Such inter-agency synergy would promote real-time data exchange, enhance taxpayer profiling, and minimise duplication in tax administration.[69] The creation of interoperable digital systems across these institutions, consistent with the NRS's statutory mandate under *sections 4(1)(l)–(m)* and *4(3)(b)* of the Nigeria Revenue Service (Establishment) Act 2025, would also improve the monitoring of VAT transactions, particularly within the expanding digital economy, as discussed in Section 3.3 above.[70]

Furthermore, personnel development remains a critical component of sustainable tax reform. The Nigeria Revenue Service (NRS) should prioritise capacity building through continuous professional training, secondment programmes with international tax bodies such as the OECD Forum on Tax Administration, and collaboration with professional organisations, including the Chartered Institute of Taxation of Nigeria (CITN).[71] These initiatives would ensure that Nigerian tax administrators are adequately equipped to manage a digital-first fiscal environment and to apply global best practices in compliance monitoring and enforcement. In conclusion, institutional strengthening under the new NRS framework must integrate technological innovation, inter-agency collaboration, and human capital

[63] *Nigeria Tax Act 2025* (NTA 2025), Preamble; *Nigeria Tax Administration Act 2025* (NTAA 2025), ss 1–3.
[64] N.35
[65] *Finance Act 2019–2023*; *Nigeria Tax Act 2025*, s 199Transitional and Savings Provisions.
[66] *Nigeria Revenue Service (Establishment) Act 2025* (which replaces the Federal Inland Revenue Service and establishes the Nigeria Revenue Service as the principal revenue authority, effective from January 1 2026).
[67] *Nigeria Revenue Service (Establishment) Act 2025*, s 4(1)(l)–(m), s 4(3)(b).
[68] Ibid.
[69] *Nigeria Revenue Service (Establishment) Act 2025*, s 4(1)(l)–(m).
[70] Ibid, s 4(3)(b).
[71] OECD Forum on Tax Administration, *Capacity Building and Digital Transformation in Tax Administrations* (OECD, 2024); Chartered Institute of Taxation of Nigeria (CITN), *Professional Standards and Continuing Education Policy* (Lagos, 2023).

development. Only through such a multi-layered approach can the 2025 tax reforms evolve from policy aspiration to administrative reality.[72]

iii. Digital Transformation and Technological Integration

The digitalisation of tax administration is central to achieving compliance, transparency, and efficiency in the modern fiscal environment. Under the Nigeria Revenue Service (Establishment) Act 2025, the newly constituted Nigeria Revenue Service (NRS) is statutorily mandated, pursuant to *sections 4(1) (l)–(m)* and *4(3)(b)*, to deploy technology and digital platforms for tax administration, data integration, and taxpayer monitoring.[73] This reform marks a shift from the manual, fragmented practices of the former FIRS to a unified, digital revenue system aimed at improving coordination and accountability. Section 4(3)(b) of the Nigeria Revenue Service (Establishment) Act 2025 mandates the NRS to use appropriate digital platforms for tax administration, collection, and remittance, giving legal force to what was previously an administrative initiative. This aligns with global trends that prioritise digital transformation as the standard for effective compliance, transparency, and taxpayer engagement. [74] The digital compliance framework established under the Nigeria Tax Act 2025 forms the backbone of Nigeria's ongoing tax digitalisation agenda. This framework integrates VAT reporting across businesses, financial institutions, and government agencies through electronic invoicing and real-time transaction monitoring systems authorised under sections 153 and 158 of the Act. If effectively implemented, these mechanisms could substantially reduce leakages, minimise human discretion, and enhance transparency and efficiency in VAT administration.[75]

To ensure the sustainability of Nigeria's digital tax transformation, the Nigeria Revenue Service (NRS) must prioritise cybersecurity, interoperability, and capacity building. Effective collaboration with the National Information Technology Development Agency (NITDA) and the Central Bank of Nigeria (CBN) will be essential for maintaining secure, resilient, and interoperable digital infrastructure.[76] The NRS should also establish a Digital Tax Innovation Unit to develop AI tools for risk analysis, taxpayer segmentation, and fraud detection by following the examples of SARS and HMRC.[77] Such an initiative would position the NRS at the forefront of technology-driven tax administration in Africa, enhancing the predictive capability of its compliance systems.[78]

Comparatively, as discussed in Section 4.1 above, the United Kingdom's Making Tax Digital (MTD) initiative, implemented under His Majesty's Revenue and Customs (HMRC), demonstrates how data-driven administration can enhance both compliance and voluntary participation in the tax system.[79] Likewise, the South African Revenue Service (SARS) has institutionalised automated VAT verification processes, offering a practical model for integrating technology with legal oversight to ensure accuracy, transparency, and taxpayer trust.[80] For Nigeria, therefore, digital transformation must not be viewed as an isolated technical reform but as a core governance strategy for modern fiscal administration. The overarching objective is to establish a responsive, transparent, and technology-empowered VAT system that advances fiscal equity, enhances public trust, and reinforces the integrity of Nigeria's revenue governance architecture.[81]

[72] Nigeria Revenue Service (Establishment) Act 2025, s 4(1) (l)–(m); Nigeria Tax Act 2025, s 158.
[73] N.68
[74] OECD, Tax Administration 2024: Digital Transformation and Emerging Trends (OECD, 2024).
[75] Nigeria Tax Act 2025, ss 153, 158; Nigeria Tax Administration Act 2025, s 71.
[76] Nigeria Revenue Service (Establishment) Act 2025, s 4(3)(b); National Information Technology Development Agency (NITDA) Act 2007, s 6(c).
[77] South African Revenue Service (SARS), Strategic Plan 2024/25–2028/29: Building a Smart Modern SARS (Pretoria, 2024); HM Revenue & Customs, Making Tax Digital and Artificial Intelligence in Tax Administration (London, 2023).
[78] OECD Forum on Tax Administration, Tax Administration 2024: Digital Transformation and AI Use Cases (OECD, 2024).
[79] HM Revenue & Customs, Making Tax Digital for VAT: Implementation and Compliance Review (HMRC, 2023).
[80] South African Revenue Service (SARS), Strategic Plan 2024/25–2028/29: Building a Smart, Modern SARS (Pretoria, 2024).
[81] Nigeria Revenue Service (Establishment) Act 2025, s 4(3)(b); OECD Forum on Tax Administration, Tax Administration 2024: Digital Transformation and Trust in Tax Systems (OECD, 2024).

iv. Enhancing Taxpayer Education and Compliance Culture

A sustainable Value Added Tax (VAT) system depends not only on enforcement capacity but also on the willingness of citizens and businesses to comply voluntarily. Tax compliance is as much a behavioural phenomenon as it is a legal obligation. Accordingly, the Nigeria Revenue Service (NRS) must adopt a holistic approach that prioritises taxpayer education, trust-building, and public engagement as integral components of VAT administration. Section 4(1) (r) of the Nigeria Revenue Service (Establishment) Act 2025 expressly empowers the NRS to "carry out and sustain public awareness and enlightenment campaigns on the benefits of tax compliance."[82] This statutory recognition of taxpayer education as a core institutional mandate represents a welcome development, particularly in a country where civic understanding of tax law remains limited.

Furthermore, partnerships with civil-society organisations, professional bodies such as the Chartered Institute of Taxation of Nigeria (CITN), and state internal revenue services can deepen outreach and ensure a uniform message about tax compliance across the Federation. Periodic taxpayer education drives, similar to South Africa's "Know Your Tax" initiative and Ghana's E-VAT public campaigns, can also help normalise tax consciousness among citizens.[83]

Establishing a Taxpayer Support and Grievance Redress Unit within the NRS would improve complaint resolution and build trust, even though it is not expressly mandated by the 2025 legislation. Such a mechanism would promote cooperation rather than confrontation between taxpayers and authorities. Taxpayer education must also move beyond basic information to foster a sense of civic responsibility and connection to governance outcomes. As the OECD notes, voluntary compliance rises when systems are fair and transparent. Strengthening this moral contract is essential to the long-term success of Nigeria's VAT reforms.

v. Strengthening Legal Remedies and Enforcement Mechanisms

Legal enforcement has long remained a weak link in Nigeria's VAT administration. Historically, the enforcement powers of the former Federal Inland Revenue Service (FIRS) were constrained by procedural bottlenecks and limited prosecutorial autonomy. The 2025 tax reform framework, anchored in the Nigeria Tax Administration Act 2025 (NTAA 2025) and the Nigeria Revenue Service (Establishment) Act 2025 (NRSA 2025), introduces a stronger and more autonomous enforcement regime. Under *Sections 48* and *61* of the NTAA 2025, the Nigeria Revenue Service (NRS) is empowered to conduct joint audits, exchange taxpayer information with other competent authorities, and undertake distrainment for unpaid taxes without prior court order, thereby expediting recovery and reducing administrative delays.[84] These provisions mark a decisive shift from the former regime, under which enforcement actions often depended on prior authorisation from the Federal Ministry of Finance or the Attorney-General of the Federation. The new legal framework also strengthens coordination with the Tax Appeal Tribunal (TAT) for faster adjudication of tax disputes, ensuring that administrative enforcement is complemented by specialised judicial oversight.[85]

However, the expansion of enforcement powers under the 2025 tax reform framework must be carefully balanced with procedural safeguards to prevent administrative overreach. The Nigeria Revenue Service (NRS) should ensure that all administrative penalties, assessments, and enforcement actions remain subject to review by the Tax Appeal Tribunal (TAT), established under section 23 of the Joint Revenue Board (Establishment) Act 2025.[86] In addition, taxpayers' constitutional rights to a fair hearing, as guaranteed under Section 36 of the Constitution of the Federal Republic of Nigeria, 1999 (as amended), must be rigorously upheld in all enforcement proceedings.[87] Ensuring these safeguards will strengthen

[82] Nigeria Revenue Service (Establishment) Act 2025, s 4(1)(r).
[83] Ghana Revenue Authority (GRA), *E-VAT Implementation Review* (Accra, 2023).
[84] Nigeria Tax Administration Act 2025, ss 48 and 61.
[85] Nigeria Revenue Service (Establishment) Act 2025; Tax Appeal Tribunal (Establishment) Act 2025.
[86] Joint Revenue Board (Establishment) Act 2025, s 23.
[87] Constitution of the Federal Republic of Nigeria 1999 (as amended), s 36.

public confidence in the integrity of Nigeria's tax system and align the country's enforcement practices with international standards of administrative justice and due process.[88]

Furthermore, legal remedies for tax disputes should be streamlined through the introduction of electronic case management systems within the TAT, enabling faster resolution of disputes and greater transparency.

vi. Promoting Regional and International Cooperation

In an increasingly globalised and digitalised economy, effective VAT administration requires robust cooperation across borders. The challenge of taxing cross-border e-commerce, digital services, and multinational transactions cannot be addressed by domestic legislation alone. Nigeria's participation in regional and international tax frameworks is therefore critical to strengthening its VAT enforcement capacity and policy coherence.

Under section 4(1) (i) of the Nigeria Revenue Service (Establishment) Act 2025, the Nigeria Revenue Service (NRS) is mandated to "collaborate and facilitate exchange of information with relevant national or international agencies or bodies on tax matters."[89] This statutory mandate aligns Nigeria with contemporary global trends in international tax administration, particularly the cooperative frameworks advanced by the Organisation for Economic Cooperation and Development (OECD), the African Tax Administration Forum (ATAF), and the Economic Community of West African States (ECOWAS). Through the active engagement with these institutions, the NRS can strengthen its capacity for cross-border information exchange, adopt best practices in VAT administration for digital trade, and enhance its technical expertise in transfer pricing and e-commerce taxation. In this regard, Nigeria's adoption of the OECD's VAT Digital Toolkit for Africa (2021) represents a significant milestone toward harmonising VAT practices across African jurisdictions and promoting regional fiscal integration.[90]

Regional collaboration offers a platform for addressing the challenges of double taxation and trade mispricing. Joint audits with neighbouring countries, such as Ghana and the Benin Republic, could mitigate revenue losses arising from cross-border supply chains. At the same time, participation in ECOWAS tax harmonisation initiatives could promote consistent VAT rules across West Africa. Beyond formal cooperation, Nigeria must invest in building institutional capacity for international tax diplomacy. This investment includes establishing a dedicated International Cooperation and Tax Policy Directorate within the Nigerian Revenue Service (NRS) to oversee bilateral agreements, data exchange protocols, and compliance with global transparency standards such as the Common Reporting Standard (CRS). By embedding international cooperation within its operational structure, the NRS will not only strengthen domestic VAT enforcement but also enhance Nigeria's credibility within the global fiscal community. In a digital economy where commerce knows no borders, effective tax governance must equally transcend national boundaries.

[88] OECD, Taxpayer Rights and Administrative Justice in Digital Tax Administration (OECD 2024).
[89] Nigeria Revenue Service (Establishment) Act 2025, s 4(1)(i).
[90] ECD and ATAF, *VAT Digital Toolkit for Africa* (OECD 2021).